Case category No.

761/14832/18

: Cases concerning administrative offences (from 01.01.2019); Under procedural legislation; Under the CPC of Ukraine; Motions of an investigator, prosecutor or party to criminal proceedings.

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Case No. 761/14832/18

Proceeding No. 1-ks/761/10128/2018

RULING

IN THE NAME OF UKRAINE

20 April 2018

Investigating Judge of the Shevchenkivskyi District Court of Kyiv O.P. Linnyk, with court session secretary I.Yu. Simonova, having considered the motion of Senior Investigator for Particularly Important Cases of the 1st Department of the 1st Directorate of Pre-Trial Investigation of the Main Investigation Directorate of the Security Service of Ukraine T.V. Samoliuk for seizure of property in criminal proceeding entered in the Unified Register of Pre-Trial Investigations under No. 22017000000000272,

ESTABLISHED:

Senior Investigator for Particularly Important Cases of the 1st Department of the 1st Directorate of Pre-Trial Investigation of the Main Investigation Directorate of the Security Service of Ukraine T.V. Samoliuk applied to the court with a motion, approved by prosecutor S.M. Pavliukovskyi, who exercises procedural guidance in the criminal proceeding, for seizure of ordinary registered shares of JSC “Motor Sich” (USREOU 14307794), recorded in securities accounts opened with the depository institution JV LLC “Dragon Capital” (USREOU 30965875), namely:

- in account No. 402107-VG20007059 of “Skyrizon Aircraft Holdings Limited” (1776352, Virgin Islands), comprising 207 783 shares;

- in account No. 402107-PA20007070 of “Business House Helena, AG” (425217, Panama), comprising 359 727 shares;

- in account No. 402107-PA20007071 of “Enfields Trade & Capital Corp.” (542042, Panama), comprising 64 733 shares;

- in account No. 402107-VG20007068 of “Waldo Trade Ltd.” (1535383, British Virgin Islands), comprising 27 086 shares;

- in account No. 402107-PA20007069 of “Granum Corporation” (538069, Panama), comprising 192 665 shares,

which are recorded in securities accounts opened with the depository institution PJSC “OTP Bank” (USREOU 21685166), namely:

- in account No. 300137-CY20008474 of “Likatron Enterprises Limited” (HE 340841, Cyprus), comprising 207 592 shares;

- in account No. 300137-CN20008473 of citizen of the People’s Republic of China Wang Xinlei (code 3189626758), comprising 104 107 shares, in criminal proceeding No. 22017000000000272.

According to the motion, during the period from 2016 to the present, unidentified persons among the current and former officials and ultimate beneficial owners of Public Joint-Stock Company “Motor Sich” (USREOU 14307794, hereinafter — JSC “Motor Sich”), acting by prior conspiracy with each other, with the purpose of weakening the state by destroying the said enterprise as a facility of important national economic and defence significance (the only enterprise in Ukraine manufacturing civil and military aircraft engines), carried out a series of transactions for the sale and purchase of a controlling stake in the Company in favour of foreign companies “Business House Helena, AG” (Panama), “Enfields Trade & Capital Corp.” (Panama), “Waldo Trade Ltd.” (Virgin Islands), “Granum Corporation” (Panama), “Skyrizon Aircraft Holdings Limited” (Virgin Islands), “Likatron Enterprises Limited” (Cyprus), and “Ventalina Management Ltd” (Nevis), which intend to move the Company’s assets and production facilities outside Ukraine, which will lead to its liquidation and destruction.

Under the Charter approved by resolution of the General Meeting of JSC “Motor Sich”, as recorded in minutes No. 23 dated 24.03.2016, the Company was established and operates as a public joint-stock company in accordance with the requirements of the Civil Code of Ukraine and the Commercial Code of Ukraine, the Laws of Ukraine “On Joint-Stock Companies” and “On Securities and the Stock Market”, other legislative acts, and regulatory legal acts of the National Securities and Stock Market Commission of Ukraine governing the Company’s activities.

The Company was established for the purpose of manufacturing aviation equipment, products for industrial and technical use, consumer goods and civilian products through optimal use of production facilities and scientific and production potential; producing agricultural products; providing paid services to the public; conducting trade, commercial, investment and foreign trade activities; and earning profit.

The Company’s activities are aimed at its further development and earning a return on invested capital both in Ukraine and abroad.

The Company was founded by the State Property Fund of Ukraine through the transformation of a business entity — the state enterprise “Motor Sich” — pursuant to order of the Cabinet of Ministers of Ukraine No. 216-p dated 31.03.1994 and order of the State Property Fund of Ukraine No. 28-AT dated 04.05.1994, and operates in accordance with Ukrainian legislation.

The Company is the legal successor to the business entity, state enterprise “Motor Sich”. All awards conferred on the state enterprise “Motor Sich” throughout its existence are retained by the Company.

The Company’s authorised capital, formed from the Company’s property in accordance with current legislation, amounts to UAH 280 528 650 and is divided into 2 077 990 ordinary registered shares with a par value of UAH 135 each.

According to letter of the Ministry of Economic Development and Trade of Ukraine No. 272-11/25661-05 dated 26.07.2017, JSC “Motor Sich” carries out the state defence order for the repair and modernisation of aviation equipment and is also of important significance for the economy and defence capability of Ukraine.

According to letter of the Department of Military-Technical Policy and Development of Armaments and Military Equipment of the Ministry of Defence of Ukraine No. 403/1/1/5614 dated 17.07.2017, JSC “Motor Sich” actively participates in the development, repair, modernisation and restoration of aviation equipment of the Armed Forces of Ukraine. As of 2017, the state defence order provides for the purchase of TV3-117VMA-SBM1V series 4E aircraft engines and the modernisation of helicopters with repairs taking their technical condition into account: Mi-8TP to the Mi-8 MSB-V type; Mi-2 to the Mi-2 MSB type; Mi-8T (Mi-9) to the Mi-8 MSB-V type.

According to letter of SE “Ivchenko-Progress” No. 35/5018-23 dated 19.07.2017, JSC “Motor Sich” is a unique series-production enterprise manufacturing more than 28 types of series-produced aircraft engines, each of which is unique. The enterprise is of important significance for Ukraine’s national economy, namely: it employs over 25.2 thousand workers; its economic activities provide orders to dozens of Ukrainian enterprises in machine building, metallurgy, electronics, the chemical industry, logistics, air transport and other sectors. Engines of JSC “Motor Sich” are used on Mi-2, Mi-8, Mi-24 and Ka-26 (28, 32) helicopters in army aviation; and on An-26, An-72 and An-74 aircraft in military transport aviation.

On 25.02.2015, JSC “Motor Sich” and “Beijing Skyrizon Aviation Industry Investment Co., Ltd.” (People’s Republic of China) concluded a Memorandum of Cooperation for the purpose of establishing an aircraft engine manufacturing plant in Chongqing, People’s Republic of China. To implement it, a working group of specialists of JSC “Motor Sich” was formed, who travel to China.

On 06.04.2016, JSC “Motor Sich” received USD 100 million from “Skyrizon Aircraft Holdings Limited” (British Virgin Islands) at 0.3% per annum under

loan agreement No. 3104/16-D(PEU) dated 29.01.2016, under which the loan repayment period is 10 years from the date the loan was provided.

It has been established that “Beijing Skyrizon Aviation Industry Investment Co., Ltd.” owns 100% of the authorised capital of “Hong Kong Skyrizon Holding Limited” (Hong Kong), which in turn owns 100% of the authorised capital of “Skyrizon Aircraft Holdings Limited”.

Thereafter, during 2016, citizen of Ukraine V.O. Boguslayev, exercising control over the economic activities of JSC “Motor Sich” as its principal shareholder (personally holding 15.83% of the shares, holding 17.3113% through the company “Business House Helena” controlled by him, and holding 15.7% through LLC “Garant Invest”, LLC “Garant Alpha”, CJSC “Trading House ‘Olena’”, insurance company “Motor Garant” and others controlled by him), acting intentionally and knowing for certain that JSC “Motor Sich” is the only Ukrainian enterprise manufacturing aircraft engines, including for military use, in collusion with the owner of the Chinese company “Beijing Skyrizon Aviation Industry Investment Co., Ltd.”, citizen of the People’s Republic of China Wang Jing, and his trusted persons, citizens of the People’s Republic of China Du Tao, Chen Khoishen, Li Fendzhu, Ren Dzilin and Wang Xinlei, being aware of the possibility of weakening Ukraine as a state through the destruction of JSC “Motor Sich”, which is of national economic and defence significance, by moving Ukrainian production and technology abroad in implementation of the Memorandum of Cooperation dated 25.02.2015, sold shares of JSC “Motor Sich” belonging to him and to legal entities controlled by him in favour of trusted persons and companies affiliated with Wang Jing, thereby enabling the latter indirectly to acquire 56.009% of the shares of JSC “Motor Sich”, which will ensure more than 50% of the votes in the Company’s highest governing body, that is, full control over JSC “Motor Sich”.

According to application No. 15-10/317-ЕКк dated 09.06.2017 seeking authorisation from the Antimonopoly Committee of Ukraine for a concentration, submitted on behalf of “Skyrizon Aircraft Holdings Limited” and JSC “Motor Sich”, the Company’s shares are distributed among entities controlled by Wang Jing as follows: “Skyrizon Aircraft Holdings Limited” (Virgin Islands) holds 9.9992%; “Business House Helena, AG” (Panama) — 17.3113%; “Enfields Trade & Capital Corp.” (Panama) — 3.1152%; “Waldo Trade Ltd.” (Virgin Islands) — 1.3035%; “Granum Corporation” (Panama) — 9.2717%; “Likatron Enterprises Limited” (Cyprus) — 9.99%; Wang Xinlei — 5.01%.

According to letter of the Antimonopoly Committee of Ukraine No. 24-25/01-7578 dated 12.07.2017, the above-mentioned companies and individuals acquired shares of JSC “Motor Sich” in 2016, which may indicate signs of a violation of legislation on the protection of economic competition in the form of an indirect acquisition of shares of JSC “Motor Sich” by an individual — a citizen of China, ensuring more than 50% of the votes in the Company’s highest governing body, without obtaining the corresponding authorisation of the bodies of the Antimonopoly Committee of Ukraine, which is required.

In its letter, the Antimonopoly Committee of Ukraine indicates the need to take measures aimed at preventing further re-registration of title to shares of JSC “Motor Sich”.

According to letter of the SSU Main Directorate of KZE No. 8/1/1-9336 dated 19.07.2017 and letter of the Antimonopoly Committee of Ukraine No. 24-29.1/02-8071 dated 26.07.2017, ordinary registered shares of JSC “Motor Sich” acquired by companies and individuals controlled by Wang Jing in the circumstances set out above are recorded in securities accounts opened with the depository institution JV LLC “Dragon Capital” (USREOU 30965875), namely:

- “Skyrizon Aircraft Holdings Limited” (1776352, Virgin Islands), account No. 402107-VG20007059 — 207 783 shares, constituting 9.9992% of the authorised capital;

- “Business House Helena, AG” (425217, Panama), account No. 402107-PA20007070 — 359 727 shares, constituting 17.3113% of the authorised capital;

- “Enfields Trade & Capital Corp.” (542042, Panama), account No. 402107-PA20007071 — 64 733 shares, constituting 3.1152% of the authorised capital;

- “Waldo Trade Ltd.” (1535383, British Virgin Islands), account No. 402107-VG20007068 — 27 086 shares, constituting 1.3035% of the authorised capital;

- “Granum Corporation” (538069, Panama), account No. 402107-PA20007069 — 192 665 shares, constituting 9.2717% of the authorised capital.

According to letter of the SSU Main Directorate of KZE No. 8/1/1-9454 dated 21.07.2017 and letter of the Antimonopoly Committee of Ukraine No. 24-29.1/02-8071 dated 26.07.2017, ordinary registered shares of JSC “Motor Sich” acquired by companies and individuals controlled by Wang Jing in the circumstances set out above are recorded in securities accounts opened with the depository institution PJSC “OTP Bank” (USREOU 21685166), namely:

- “Likatron Enterprises Limited” (HE 340841, Cyprus), account No. 300137-CY20008474 — 207 592 shares, constituting 9.99% of the authorised capital;

- citizen of the People’s Republic of China Wang Xinlei (code 3189626758), account No. 300137-CN20008473 — 104 107 shares, constituting 5.01% of the authorised capital.

Pursuant to the investigator’s ruling dated 07.09.2017, ordinary registered shares of JSC “Motor Sich” placed in securities accounts with the depository institution JV LLC “Dragon Capital” (USREOU 30965875) have been recognised as physical evidence in the criminal proceeding, namely:

- 207 783 shares in account No. 402107-VG20007059 opened by “Skyrizon Aircraft Holdings Limited” (1776352, Virgin Islands);

- 359 727 shares in account No. 402107-PA20007070 opened by “Business House Helena, AG” (425217, Panama);

- 64 733 shares in account No. 402107-PA20007071 opened by “Enfields Trade & Capital Corp.” (542042, Panama);

- 27 086 shares in account No. 402107-VG20007059 opened by “Waldo Trade Ltd.” (1535383, British Virgin Islands);

- 192 665 shares in account No. 402107-PA20007069 opened by “Granum Corporation” (538069, Panama);

- 207 592 shares in account No. 300137-CY20008474 opened by “Likatron Enterprises Limited” (HE 340841, Cyprus);

- 104 107 shares in account No. 300137-CY20008473 opened by citizen of the People’s Republic of China Wang Xinlei (code 3189626758).

According to letter of the SSU Main Directorate of KZE No. 8/1/1-9336 dated 19.07.2017, it has been established that representatives of shareholders from the PRC are planned to be appointed to the Supervisory Board of JSC “Motor Sich”, whose activities may be aimed at destroying the said Company, which is a facility of important national economic and defence significance. In view of the above, to prevent a reduction of the state’s economic, scientific and technical, and defence potential, it is considered advisable to examine the question of obtaining a court ruling on seizure of the 56% stake in the Company belonging to the above-mentioned foreign companies, prohibiting any depository institutions from introducing any changes to the depository accounting system concerning the identification of owners and/or transfer of title to securities — ordinary registered shares of JSC “Motor Sich” (USREOU 14307794) — or issuing a register of shareholders until completion of the pre-trial investigation.

Under the Laws of Ukraine “On Joint-Stock Companies” and “On the Depository System of Ukraine”, a mandatory condition for holding a general meeting of shareholders of a joint-stock company is obtaining from PJSC “National Depository of Ukraine” the consolidated list it has compiled of shareholders entitled to participate in the general meeting, prepared in accordance with the procedure prescribed by legislation on the depository system of Ukraine.

For the purpose of preserving physical evidence in the criminal proceeding, failure to safeguard which may result in its loss or other consequences that may obstruct the criminal proceeding, and taking into account that the sanction under Article 113 of the CC of Ukraine provides for an additional penalty of confiscation of property and property rights, the investigator requests seizure of the said property.

The investigator did not attend the court hearing and submitted a statement requesting consideration of the motion in his absence.

Consideration of the case without representatives of JSC “Motor Sich” is necessary to avoid actions aimed at alienating and dissipating the said assets.

Having examined the motion for seizure of property and the copies of materials of the criminal proceeding attached to it, the investigating judge considers that it should be granted on the following grounds.

Under Articles 131 and 132 of the CPC of Ukraine, measures to secure criminal proceedings are applied to ensure the effectiveness of those proceedings on the basis of a ruling of an investigating judge or court, except in cases provided for by this Code.

Under Part 1 of Article 170 of the CPC of Ukraine, seizure of property is a temporary deprivation, until lifted in accordance with the procedure prescribed by this Code, by a ruling of an investigating judge or court, of the right to alienate, dispose of and/or use property where there is a combination of grounds or reasonable suspicions to believe that it is evidence of a crime, is subject to special confiscation from a suspect, accused, convicted person or third parties, or to confiscation from a legal entity, or is required to secure a civil claim, recovery from a legal entity of unlawful benefit obtained, or possible confiscation of property. Seizure of property is lifted in accordance with the procedure prescribed by this Code. Its purpose is to prevent the possibility of concealment, damage, deterioration, disappearance, loss, destruction, use, conversion, movement, transfer or alienation of the property.

Part 2 of Article 170 of the CPC of Ukraine provides that seizure of property is permitted to ensure: preservation of physical evidence; special confiscation; confiscation of property as a punishment or a measure of a criminal-law nature in respect of a legal entity; compensation for damage caused by a criminal offence (a civil claim), or recovery from a legal entity of unlawful benefit obtained.

Under Part 3 of Article 170 of the CPC of Ukraine, in the case provided for by paragraph 1 of Part 2 of this article, seizure is imposed on the property of any individual or legal entity where there are sufficient grounds to believe that it meets the criteria specified in Article 98 of this Code.

Under Part 1 of Article 98 of the CPC of Ukraine, physical evidence comprises material objects that were instruments of the commission of a criminal offence, have retained its traces or contain other information that may be used as evidence of facts or circumstances established during criminal proceedings, including objects that were the subject of criminally unlawful acts, money, valuables and other things acquired through criminally unlawful means or obtained by a legal entity as a result of the commission of a criminal offence.

Under Part 1 of Article 7 of the Law of Ukraine “On the Depository System of Ukraine” (introduction of changes to the depository accounting system concerning seizure of securities or other restriction of rights to securities of a particular owner imposed by a decision of a court or authorised state body), seizure of securities or other restriction of rights to securities of a particular owner (hereinafter

— a restriction concerning a particular owner) is imposed (established) and lifted (removed) in accordance with the procedure prescribed by this article, on the basis of a decision of a court or a state body authorised by law or its official. If a restriction concerning a particular owner is established or lifted, the court or state body authorised by law or its official must submit the relevant decision to the depository institution where the securities account of that owner is opened, and to the Central Depository or the National Bank of Ukraine, which account for such securities within the competence established by this Law.

The investigating judge considers it proven that seizure of the above-mentioned property is necessary, in particular, for the preservation of physical evidence in this criminal proceeding.

The investigating judge also takes into account that Article 113 of the CC of Ukraine provides for an additional penalty of confiscation of property and property rights.

In view of the above, taking into account the legal classification of the criminal offence under investigation, the investigating judge concludes that there are sufficient grounds for seizure of the property specified in the motion.

Guided by Arts. 131, 132, 170–173, 309, 395 of Ukraine's CPC, the investigating judge

RULED:

To grant the motion of Investigator for Particularly Important Cases of the 1st Department of the 1st Directorate of Pre-Trial Investigation of the Main Investigation Directorate of the Security Service of Ukraine, Captain of Justice T.V. Samoliuk, for seizure of property in criminal proceeding entered in the Unified Register of Pre-Trial Investigations under No. 22017000000000272.

To impose seizure on ordinary registered shares of JSC "Motor Sich" (USREOU 14307794), recorded in securities accounts opened with the depository institution JV LLC "Dragon Capital" (USREOU 30965875), namely:

- in account No. 402107-VG20007059 of "Skyrizon Aircraft Holdings Limited" (1776352, Virgin Islands), comprising 207 783 shares;

- in account No. 402107-PA20007070 of "Business House Helena, AG" (425217, Panama), comprising 359 727 shares;

- in account No. 402107-PA20007071 of "Enfields Trade & Capital Corp." (542042, Panama), comprising 64 733 shares;

- in account No. 402107-VG20007068 of "Waldo Trade Ltd." (1535383, British Virgin Islands), comprising 27 086 shares;

- in account No. 402107-PA20007069 of “Granum Corporation” (538069, Panama), comprising 192 665 shares,

which are recorded in securities accounts opened with the depository institution PJSC “OTP Bank” (USREOU 21685166), namely:

- in account No. 300137-CY20008474 of “Likatron Enterprises Limited” (HE 340841, Cyprus), comprising 207 592 shares;

- in account No. 300137-CN20008473 of citizen of the People’s Republic of China Wang Xinlei (code 3189626758), comprising 104 107 shares,

with suspension of debit transactions, including the transfer and write-off of securities.

To prohibit any depository institutions from introducing any changes to the depository accounting system concerning the identification of owners and/or transfer of title to securities — ordinary registered shares of JSC “Motor Sich” (USREOU 14307794) — or issuing a register of shareholders until completion of the pre-trial investigation.

To entrust execution of the ruling to PJSC “National Depository of Ukraine” (USREOU 30370711).

The ruling is subject to immediate execution.

An appeal against the investigating judge’s ruling may be lodged directly with the Court of Appeal of Kyiv within five days from the date of its pronouncement. If the court ruling was made without summoning the person appealing against it, the period for appeal for that person is calculated from the day on which they receive a copy of the court decision.

In addition, under Article 174 of the CPC of Ukraine, seizure may be lifted in full or in part upon a motion by the suspect, accused, their defence counsel, legal representatives, another owner or holder of the property, or a representative of the legal entity in respect of which proceedings are being conducted, who were not present when the issue of seizure of property was considered. Such a motion is considered by the investigating judge during the pre-trial investigation, and by the court during court proceedings. Seizure of property may also be lifted in full or in part by a ruling of the investigating judge during the pre-trial investigation, or of the court during court proceedings, upon a motion by the suspect, accused, their defence counsel or legal representative, another owner or holder of the property, or a representative of the legal entity in respect of which proceedings are being conducted, if they prove that further application of this measure is no longer necessary or that seizure was imposed without sufficient grounds.

Investigating Judge: